

Executive Risk Brief: Retail Capital Preservation & Exchange Slippage

TO:	BI & Analytics Leadership, CoinDCX	DATE:	September 20, 2026
FROM:	Dhritiman Mitra (Analytics Intern Candidate)	SYSTEM:	PulseScope Platform
SUBJECT:	Retail Drawdown Mitigation via 5% Stop-Loss Automation & Slippage SLAs		

Executive Summary

Analysis of 100,000+ transaction executions across representative trader personas (Retail Speculators, Systematic Trend Traders, and High-Frequency Market Makers) reveals that retail accounts suffer severe asymmetric drawdown due to lack of systematic exit discipline. Backtesting trailing stop-loss logic against 1-minute OHLCV market candles demonstrates that automated risk intervention preserves significant retail trading liquidity while simultaneously expanding exchange fee generation through increased capital velocity.

Key Empirical Findings

- 1. Cost of Unmanaged Drawdown:** Retail speculators exhibited an average maximum drawdown of **-34.8%**, with **62%** of unmanaged losing positions remaining open past a -15% unrealised loss threshold. This persistent loss locks trader capital, induces psychological friction, and drastically dampens trading velocity.
- 2. The 5% Stop-Loss Sweet Spot:** Simulating a 5% stop-loss threshold across all retail long entries reduced total cohort losses by **77.7% (saving ₹14.3 Lakhs)**. While aggressive 2% stops resulted in excessive whipsaw liquidations, a 5% threshold allowed normal market volatility while shielding capital against structural market breakdowns.
- 3. Execution Slippage & Incident Prioritisation:** During volume spike events (rolling Z-score > 3.0), market-order stop-losses suffered execution slippage exceeding **4.5%**. Implementing a **P0 Incident Alert** for slippage > 3.0% identifies exchange liquidity deficits and order book exhaustion before customer escalations occur.

Metric Comparison	Unmanaged Retail	With 5% Stop-Loss	Variance (Impact)
Total Realised Net PnL	-₹18.4 Lakhs	-₹4.1 Lakhs	+₹14.3 Lakhs (+77.7%)
Average Maximum Drawdown	-34.8%	-11.2%	+23.6% Preserved
Capital Turnover Velocity	1.4x / month	3.8x / month	+171% Activity
Total Exchange Fees Paid	₹1.82 Lakhs	₹2.95 Lakhs	+62.1% Fee Growth

Strategic Product & Risk Recommendations

- 1. In-App 'Smart Stop-Loss' Nudge Architecture:** Rather than forcing mandatory stops (which cause trader friction), introduce a one-tap 5% risk guardrail default during order placement on volatile pairs. Preserving retail capital protects user solvency and extends customer lifetime value (LTV) from 2.4 months to 7.8+ months.
- 2. Automated P0 Operational Slippage Routing:** Operationalise the P0 Incident Queue to trigger automated liquidity provider (LP) re-routing and spread checks whenever market stop-loss slippage breaches 2.5% on major pairs.